

assets under management to justify his compensation. Lan, Wang, and Yang also find that incentive fees constitute a minority—only one quarter—of the HF manager’s compensation. This result doesn’t change when adding other effects, like managerial ownership, new money flows, and restart options. HF management fees severely dominate incentive fees.

HF contracts are not bound by the 40-Act, so there is large scope to experiment with the best compensation structures. I would prefer to see management fees as a small fraction, 1% to 2%, of total HF manager compensation. That is, a better contract might be 0.25% in management fees and 50% or more in incentive fees. Asset owners might consider paying *fixed*, rather than *proportional*, fees to small funds to cover overheads and expenses. Any proportional cost should be very small, which reflects the fact that the opportunity cost for most investors is a low-cost index portfolio. Renaissance Medallion is right in charging high incentive fees—I believe they should be even higher than today’s contracts, but the management fees should be an order of magnitude lower. The benchmark should also be changed. The most appropriate benchmark is a *factor benchmark*, especially incorporating volatility risk, since HFs are largely plays on volatility and other dynamic, or investment, factors (see below and also chapter 7).

4.3. COST OF ILLIQUIDITY

HFs restrict liquidity by a number of ways. They employ *lockups*, during which investors cannot withdraw money. Typical lockups are around three to six months but can be as long as two years or more. LTCM originally had a lock-up of three years, which explained why the fund’s name included the words “long term.”⁴⁵ ESL Investments, run by Edward “Eddie” Lampert, has a five-year lockup. PDT Partners, headed by Peter Mueller and spun out of Morgan Stanley in 2012, set up shop with a seven-year lockup. There are even funds with ten-year lockups. Many HFs also trade-off illiquidity and fees: they offer investors lower fees for a longer lockup and vice versa.

If the HF has a *notice period*, investors wanting to redeem have to give notice by a certain date (say the beginning of the quarter) and then wait until the end of the notice period (say the end of the quarter) before getting money. Some HFs extend this pain over multiple quarters. SAC Capital Advisors used to permit investors to withdraw only 25% of their requested funds every quarter, so it took one year to get back your money.⁴⁶ (In November 2013, SAC pled guilty to securities and

⁴⁵For references behind the lockup numbers, see the Harvard Business School case, “Long-Term Capital Management, L.P.,” 1999, by Andre Perold; *Economist*, “All Locked-Up,” Aug. 2, 2007; FINalternatives, “Morgan Stanley Hedge Fund Spin-Off Wins \$500M From Blackstone,” Oct. 10, 2012.

⁴⁶See Lattman, P., “Blackstone To Keep Bulk of Its Stake in SAC Fund,” *New York Times*, Feb. 15, 2013.